

Distributor Credit Risk on Gut Feel

FMCG / Pharma / Textile Distributors · ML Credit Scoring

AI/ML Team · 4-Day Project Brief

Section 1: Problem Statement

The Challenge

"Mujhe nahi pata kaun mera paisa dobara nahi dega. Har mahine 2-3 dealers bounce karte hain, hum phir bhi unhe credit dete rehte hain kyunki salesman ne kaha 'yaar acha banda hai'."

Distributors across Pakistan extend credit to hundreds of retailers and dealers based almost entirely on a salesman's personal judgment or a WhatsApp reference from another dealer. No structured scoring model exists at any stage of this process. When a payment eventually bounces, the blame is placed on the salesman, but the underlying issue is the complete absence of predictive signal in the credit decision.

This problem is especially acute in Pakistan because ERP adoption is close to zero in mid-tier distribution businesses, meaning dealer payment histories live scattered across Excel sheets or handwritten ledgers. A relationship-based trust culture also means salesmen and even owners are reluctant to say no to a familiar face, and because salesmen work on commission, they carry no financial risk themselves when a dealer they vouched for eventually defaults.

Who Feels This Most

Owners of 50–500 dealer distribution companies across FMCG, pharma, textile yarn, and construction materials, along with CFOs and accounts heads at mid-size wholesale operations running 3–10 salesmen on the road, feel this problem most acutely every month.

Section 2: Cost of Inaction

3–7% Bad Debt Rate	PKR 1M+ Annual Write-offs	100 hrs Chase Calls / Month
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Section 3: Expected Outcome

By the end of this project, the team is expected to produce a working demonstration that turns a distributor's raw, unstructured payment history into a clear, defensible risk signal — something the owner can look at and immediately trust more than a salesman's gut feeling. The result should visibly separate reliable dealers from risky ones using the client's own historical data, and it should be presentable in a live walkthrough where the client can see specific dealers they currently trust flagged as high-risk based on patterns in their own numbers. The emphasis is on convincing accuracy and clarity of presentation, not on technical sophistication for its own sake.

Section 4: 4-Day Project Timeline

Day 1	Understand & Prepare
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	Study the problem in depth, review the kind of payment data distributors typically maintain, and lock in the overall approach for turning that data into a risk signal.
Day 2	Build the Core Start building the core scoring logic and get a first working version producing risk output on sample or provided data.
Day 3	Complete & Test Finish the build end-to-end and test it thoroughly so it runs reliably on a full dataset without manual intervention.
Day 4	Finalize & Present Polish the output for presentation, run it against real or client-representative data, and prepare to walk a client through the results.

Note: This brief intentionally omits detailed solution architecture and deliverable specifications. The team should use Day 1 to define its own technical approach and submission format, subject to check-in with the project lead.